INDIA'S NEW LEATHER HUB



Cheap land and labour, an integrated hub, government sops and a hassle-free environment make Kolkata an attractive option for Kanpur's tanners to relocate

By Romita Datta

Over the past few years, India's leather capital has been shifting downstream the Ganga—from Kanpur to Kolkata. Once the hub of the country's leather industry, the Uttar Pradesh town has had to gradually cede that distinction as cow vigilantism in the state made the transportation and slaughter of cattle increasingly difficult, which, in turn, dealt a blow to the leather trade. So, when Iqbal Naaz, the regional chairman of the Council for Leather Exports and owner of the Kanpur-based Naaz Exports Private Limited, met West Bengal chief minister Mamata Banerjee during a stopover in Milan in September 2018 en route from a business trip to Italy and Germany, he wondered whether her government could provide him land in West Bengal to expand his unit. Shortly afterward, at the Bengal Global Business Summit in February 2019, Mamata issued a notification inviting applications for land in the sprawling 1,100-acre Kolkata Leather Complex (KLC), located in the eastern fringes of the city in Bantala, and touted to be "South Asia's biggest integrated leather hub".

Bengal, it seems, is ideal in terms of land availability and cost, as well as in the facilities offered by the government. "Land cost Rs 30,000-40,000 per square metres in Jajmau and Rs 10,000-15,000 in Unnao," says Naaz. "At KLC, it was only Rs 2,800 per square metres." Not just that, capacity in the leather clusters in Kanpur, Jajmau and Unnao are full. The CETPs (common effluent treatment plants)—essential for treating the immensely hazardous chemical effluents released from tanneries—there too are functioning over the optimal level.

More than anything, however, it was vigilante attacks by cow protection groups in UP and the closure of many slaughterhouses by the state government in 2017 that made the environment for the leather industry unconducive for business. The row over cow slaughter forced the closure of 150 out of 400 tanneries at the country's biggest leather hub at Jajmau, a suburb of Kanpur. Then, three months before